

## MONTHLY OR ANNUAL INCOME STATEMENT

The last thing to consider is whether we should create an annual or monthly income statement. This decision depends on the flow of our income. If our income or salary is steady throughout the year, it is better to go for monthly income statement, as the human mind thinks best in monthly terms. However, if our income and expenses are not regular but seasonal in nature, e.g. people who are engaged in businesses like textile, event management, or such other seasonal business, creating an annual income statement should be preferred. Creating a monthly plan would be very inefficient in such scenarios. Make a call on time horizon based on your comfort and circumstances.



## DEALING WITH EMI

To understand the concept of EMI, it is important to break it down. Every instalment paid in the form of an EMI comprises of two components – Principal Component and Interest Component.

The principal component is directed towards the loan repayment. The interest component is the amount that is the expense paid for borrowing the amount. With time, for every loan that we have taken, the proportion of the principal component in the EMI keeps increasing, while the interest component keeps decreasing. This complex math is created in a Loan Amortization Table. But we need not sweat our brains over it or worry since, that is to be done by the bankers and not us.